

systematically outperform expensive, high-growth portfolios, and by wide margins. The second, more counterintuitive finding is that, even in the value portfolios, high growth leads to underperformance and low or no growth leads to outperformance. This is a fascinating finding. Intuitively, we are attracted to high growth and would assume that high-growth value stocks are high-quality stocks available at a bargain price. The data show, however, that the low- or no-growth value stocks are the better bet. It seems that the uglier the stock, the better the return, even when the valuations are comparable.

This counterintuitive behavior can be found in sub-liquidation stocks too. Recall that Henry Oppenheimer tested the performance of two portfolios of net current asset value stocks, one containing only stocks that had been profitable over the preceding year, and another containing only stocks that had been operating at a loss.⁴⁶ He found that the portfolio containing stocks operating at a loss tended to outperform the portfolio of profitable stocks. Table 7.7 shows the results of Oppenheimer's research on profitable and loss-making net nets to 1983, and our update to 2010.⁴⁷

Oppenheimer also found that profitable, dividend-paying stocks generated a lower return than profitable stocks that did not pay a dividend. Table 7.8 shows the results of Oppenheimer's research to 1983, and our update to 2010.

TABLE 7.7 Average Yearly Returns to Profitable and Loss-Making Net Current Asset Value Portfolios (1970 to 2010)

	Profitable Net Nets Average Annual Return (%)	Loss-Making Net Nets Average Annual Return (%)	Difference (Loss- Making—Profitable) (%)
1970 to 1983	33.1	36.2	3.1
1983 to 2010	26.2	49.0	12.8

TABLE 7.8 Average Yearly Return to Profitable Dividend Paying and Non-Dividend Paying Net Current Asset Value Portfolios (1970 to 2010)

	Average Annual Return to Dividend- Paying Net Nets (%)	Average Annual Return to Non Dividend-Paying Net Nets (%)	Difference (Non Dividend— Dividend) (%)
1970 to 1983	27.0	40.6	13.6
1983 to 2010	19.3	33.2	13.9